Union Bank of India, HDFC Bank and Kotak Mahindra Bank—will join this pilot subsequently. The RBI will issue and redeem the e-rupee, and delegate the distribution and payment services to the banks. There will be closed user groups, including both customers and merchants, as part of the pilot project. The payments can be made by scanning a QR code at the vendor's outlet.

The actual source of the scepticism is the strategy itself; the numbers will finally appear only as a symptom. For, the e-rupee project is essentially pitted against an older initiative of the government—the real-time digital payment system UPI (Unified Payments Interface), which has not only become hugely successful since its launch in 2016, but is in fact seen to be a global exemplar, counted as one of "the most successful deep-tech innovations coming out of India", putting it ahead of China, the US and South Korea.

At the end of the calendar year 2022, UPI's total transaction value stood at Rs 125.95 lakh crore, up 1.75 times year-on-year. Though UPI and the digital rupee are not comparable currently as the latter is still at a pilot stage, many believe India has been slow in issuing the digital rupee, and in the present scenario consumers may not find it as attractive as the UPI, which platforms such as GooglePay, PhonePe and PayTm, among others, enabled aggressively. China, which issued the eCNY as early as 2019, the first major economy to do so, too found it tough scaling up its use as the public were already used to mobile payment services such as Alipay, an affiliate of online retailer Alibaba, and WeChat Pay, part of online giant Tencent.

MANY THINK INDIA HAS BEEN SLOW IN ISSUING THE DIGITAL RUPEE AND IT MAY LOSE OUT TO UPI

There are some key differences between UPI and the e-rupee. In UPI transactions, banks act as intermediaries, and every transaction is debited from one's bank account. For an e-rupee, one has to build a wallet by buying digital currency from one of the four banks. The e-currency is then used for transactions, and the money debited from the user's wallet. It is as good as physical banknotes in one's wallet, except that both the wallet and the currency are digital. Once the transaction is over, the money is transferred to the vendor's digital wallet. Another key feature of the e-rupee is anonymity, similar to cash in physical form. UPI transactions leave a trace each time one buys or sells as it is debited or credited at the bank. With the e-rupee, the transaction is not monitored. Inter alia, that leaves no room for any transaction cost, though there are no transaction costs on UPI payments either as of now.

But it has its votaries. Rohit Chawla, CEO of Finway FSC, a digital lending marketplace, thinks the digital rupee is a commendable initiative to reduce transaction costs, enabling real-time account settlements and expediting cross-border transactions. Sanjoy Datta, partner and financial services industry leader at Deloitte India, says the digital currency is focused on enabling commoners with the simplicity, security and robustness of payment transactions. "In addition, the power of wealth now gets extended to consumers in the unbanked hinterlands of the country with limited technology advancements," he adds.

The RBI's digital rupee experiment comes at a time when India is working on a bill to regulate private digital currencies such as cryptocurrencies. In fact, the RBI has been extremely critical of them. In July, Union finance minister Nirmala Sitharaman had said the RBI wanted to impose a ban on cryptos, though she admitted such a ban would be effective only through joint global efforts. "Private virtual currencies sit at substantial odds with the historical concept of money. They are not commodities or claims on commodities as they have no intrinsic value," says the RBI, adding that they undermine India's financial and macroeconomic stability.

It may be a long time before its solution gets wider acceptance, but the RBI has set the ball rolling. Like its counterpart in China, the RBI needs to give the e-rupee a lot of visibility and build the required infrastructure for quicker adoption to make this digital currency a credible alternative mode of payment. ■



By Prashant Srivastava

Political strategies of parties across the country are slowly being realigned, keeping in view a raft of upcoming assembly polls as well as the 2024 Lok Sabha election. In Uttar Pradesh, the first three weeks of 2023 were revelatory. On January 3, the Congress's Bharat Jodo Yatra entered UP. All opposition party leaders—including Samajwadi Party (SP) president Akhilesh Yadav, Bahujan Samaj Party (BSP) chief Mayawati and Rashtriya Lok Dal (RLD) chairman Jayant Chaudhary—were invited to join in. As it happened, no one turned up, restricting themselves to conveying their best wishes in a pro forma sort of way. But for optimists, even that was a ray of hope for opposition unity in the state. Then, on January 15, on